

JUST A BIT SHORT OF BREATH

The allocation for healthcare not only falls short of expectations, but misses out on key areas of requirement

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Photograph by **BANDEEP SINGH**

AN EXTRA RS 1,803 CRORE. SO EVEN AT A MODEST INCREASE OF 2.022 PER CENT, THE RS 90,958.6 CRORE allocated to the health and family welfare ministry in the Union budget would seem to represent a steady, continuing focus on India's well-being—on the face of it. But that conceals the fact that it falls woefully short of requirements when one considers the enormity of the country's health challenges. Experts say it fails to address even some vexed policy knots: rationalisation of taxes for life-saving drugs and emergency treatments, well-tailored incentives to industry that can bring private healthcare closer to the common Indian, and other critical areas like GST reforms. Mental health services, for one, exact an unconscionable 18 per cent GST from patients. The picture of benign oversight solidifies when you consider the revised estimates for the Centre's health expenditure last year. Here, it's revealed that, of the Rs 89,155 crore budgeted for in 2023-24, only Rs 80,517.62 crore was spent. That is, Rs 8,638 crore—as much as 9.7 per cent—went unspent. If the purse allotted to the health ministry for 2024-25 is deployed fully, therefore, it would mean a whopping increase of 12.97 per cent in actuals over last year. The budget for the Ayush ministry reveals a similar pattern. It has received an outlay of Rs 3,712.49 crore, a 1.78 per cent increase over last year's Rs 3,647.50 crore. But again, the jump over the revised estimates is a rather revealing 23.75 per cent. That's an ironic preface to all topics of contention.

The modest increase in fund allocation for a sector where the gap between supply and demand is already substantial has left healthcare experts both disappointed and concerned. India has the highest burdens for non-communicable and communicable disease and had an out-of-pocket expenditure of nearly 50 per cent in FY 2019-20, according to government estimates, a situation which is viewed as "catastrophic" by World Health Organization (WHO) metrics. In such a scenario, Srinath Reddy, honorary distinguished professor and goodwill ambassador for Public Health Foundation of India (PHFI), a public-private initiative, calls this year's allocation to the sector "a token budget for healthcare". Domain experts are also sceptical of the achievement of the targeted expenditure of 2.5 per cent of GDP on healthcare, as